



Diamond Trust Bank Kenya Limited

2000 Annual Report and Financial Statements



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Company Information

BOARD OF DIRECTORS

James B. Galbraith * *Chairman*
Alan P. Beauregard ** *Managing Director (Resigned on 31 January 2001)*
Abdul A. Samji
Amin E. Merali
George O. Oraro
Iqbal G. Mamdani **
Jack J. Kisa
Mahmood P. Manji
Nizar N. Juma
Iain Cheyne * (Appointed on 16 January 2001)
James Bonnardeux *** (Appointed on 29 June 2000)
Francis Okello (Resigned on 31 March 2000)
Brian V. Wilson **** (Resigned on 1 December 2000)
Roy A. Karaoglan ** (Resigned on 4 July 2000)
British **American *Belgian ****Irish*

COMPANY SECRETARY

Elizabeth W. Hinga (Appointed on 15 December 2000)
Julius N. Kuria (Resigned on 1 November 2000)

REGISTERED OFFICE

Nation Centre
Kimathi Street
P. O. Box 61711, Nairobi

AUDITORS

PricewaterhouseCoopers
Certified Public Accountants
Rahimtulla Towers, Upper Hill Road
P. O. Box 43963, Nairobi

BRANCHES

Nation Centre
Kimathi Street
P. O. Box 61711, Nairobi

Diamond Trust House
Moi Avenue
P. O. Box 90564, Mombasa

Diamond Trust House
Oginga Odinga Road
P. O. Box 1081, Kisumu

Notice of Annual General Meeting

Notice is hereby given that the Thirty Fifth Annual General Meeting of the shareholders of Diamond Trust Bank Kenya Limited will be held at the Nairobi Serena Hotel, Nyerere Road, Nairobi, on Friday, 29 June 2001 at 10.00 a.m. to transact the following business:

1. To confirm the Minutes of the Thirty Fourth Annual General Meeting held on 30 June 2000.
2. To receive, consider and adopt the Annual Report and Financial Statements for the year ended 31 December 2000.
3. To approve payment of a dividend of 15% on the Issued and Paid-up Share Capital of Shs. 318 million to the shareholders registered in our books as at 29 June 2001 on or about 20 July 2001, as recommended by the Board.
4. To elect Directors in accordance with the Company's Articles of Association.
5. To approve the Directors' fees.
6. To appoint the Company's Auditors, PricewaterhouseCoopers, in accordance with Section 159(2) of the Companies Act (Cap.486) and Section 24(1) of the Banking Act (Cap.488).
7. To note the Auditors' remuneration for the year 2000, and to authorise the Directors to fix the Auditors' remuneration for the year 2001.
8. To transact any other Ordinary Business of an Annual General Meeting.

By order of the Board

Elizabeth W. Hinga

Company Secretary

22 March 2001

Nairobi

Note:

A member entitled to attend and vote at the above Meeting is entitled to appoint one or more proxies to attend and vote on its/his/her behalf. Such proxy need not be a member of the Company. A proxy form, which must be lodged with the Company Secretary, P. O. Box 61711, Nairobi not later than 48 hours before the time for holding the Meeting, is enclosed.

Chairman's Statement

*T*he Kenyan economy contracted by 0.3% in 2000. Severe drought conditions affected the agricultural sector and the consequent power rationing had a debilitating effect on industry. The economy experienced another difficult year with poor trading conditions discouraging new investment.

The poor economic conditions resulted in a reduced number of good lending opportunities. As a result, the loan book reduced from Shs 2,423 million to Shs 1,486 million. Surplus funds were invested in Government securities and in the inter-bank market to produce good returns. Fees and commissions were down by Shs 10 million due to reduced lending and less activity on foreign business.

Provision for bad and doubtful debts amounted to Shs 28 million, down from Shs 48 million in 1999. The Bank continues to adopt a prudent stance on provisioning and these additional provisions were deemed necessary to compensate for the decline in the value of security, principally property.

Profit before tax amounted to Shs 200 million an increase of Shs 45 million over the previous year. As part of a programme to concentrate its activities and investments on its core business, the Bank undertook an exercise to dispose of its non-banking investments. The sales of property not occupied by the Bank and the sales of shareholdings in unrelated businesses yielded a profit of Shs 57 million. Operating Expenses were

contained at Shs 354 million, a reduction of Shs 2 million on the previous year.

Gains on sales of non-banking assets coupled with a lower tax charge gave rise to sharply increased earnings per share of Shs 2.06 up from Shs 1.31 last year.

Although the results for 2000 were significantly better than those of the previous years, there is uncertainty about the outlook for 2001. The possible introduction of new banking legislation will affect margins on bank lending and thus profitability, and the consensus view on the economy is not very positive. In view of these factors, the Board prefers to adopt a more prudent approach and wishes to recommend a dividend of 15% for the year, as against 20% last year.

The Central Bank (Amendment) Bill 2000, more commonly known as the Donde Bill, has been passed by Parliament and is awaiting Presidential assent. This Bill seeks to impose a minimum rate that would be paid on deposits and a maximum rate that would be charged on loans. It would limit commissions that may be charged and prohibit directors guaranteeing borrowings of their companies. If the legislation were approved in its current form, the Bill would interfere with normal market forces and have a significant impact on the banking industry. The management has considered the implications of the Bill and a number of changes have been made to prepare the Bank for the challenges that lie ahead.

Chairman's Statement

(continued)

On 31 January 2001, Mr. Alan P. Beauregard resigned his position as Managing Director of the Bank. A Selection Committee of the Board has been appointed to undertake the process of finding a replacement. In the meantime, Mrs. Nasim Devji, formerly General Manager - Regional Finance, has been appointed Acting Chief Executive. The Board has every confidence in Mrs. Devji's abilities to lead the Bank during the interim period.

The Bank's affiliates in Uganda and Tanzania had mixed fortunes in 2000. Diamond Trust Bank Uganda reported an increase in pretax profits of 49% whilst Diamond Trust Bank Tanzania reported a decline of 20%.

Your Bank, in conjunction with its affiliates, continues to pursue a policy of regionalisation. We believe that we can offer significant benefits to our customers by providing services across borders in East Africa. Having created a base of common systems and procedures, management has developed standardised products to be

marketed in Kenya, Uganda and Tanzania. In addition, there will be an integrated and co-ordinated approach to the development of new business.

Throughout the year we have had loyal support from our depositing and borrowing customers. In order to strengthen these ties and to develop a closer working relationship with our customers we have now appointed customer relationship managers in order to offer a more personalised service.

On behalf of the shareholders, the Board wishes to express its appreciation to the management and staff for their valuable contribution to the operation of the Bank during the year.

James B. Galbraith

Chairman

22 March 2001

Taarifa ya Mwenyekiti

Uchumi wa Kenya ulibainika kwa Asilimia 0.3% mnamo 2000. Ukame mkali uliathiri sana sekta ya kilimo na hatimaye kusababisha mgawo wa umeme uliodhoofisha shughuli za uchumi. Uchumi huo ulishuhudia mwaka mwingine mgumu pamoja na hali mbaya za biashara za kukatiza rasilimali mpya.

Hali hizo mbaya za kiuchumi zilisababisha nafasi mpya nzuri za ukopeshaji pesa kuadimika. Kwa sababu hiyo, pesa zilizokopwa zilipunguka kutoka Shs 2,423 milioni hadi Shs 1,486 milioni. Pesa zilizobaki bila kukopwa ziliwekwa rasilimali katika dhamana za pesa za Serikali na biashara ya pesa kati ya mabengi na kuleta matokeo mazuri. Malipo ya ada na bakshishi za biashara ya pesa ziliteremka kwa Shs 10 milioni kutokana na nafasi zilizoadimika za ukopeshaji na shughuli hafifu katika biashara ya pesa za kigeni.

Pesa zilizotengwa kuridhia madeni yasiyolipwa na madeni yanayoshukiwa zilifikia Shs 28 milioni, zikiwa zimeshuka kutoka Shs 48 milioni mnamo 1999. Banki hii inaendelea kuzingatia msimamo wa busara katika kutenga pesa hizo na matoleo zaidi yalikuwa muhimu katika kuridhia kushuka kwa thamani ya dhamana zilizowekwa, hasa thamani ya majumba.

Faida kabla ya kodi ilifikia Shs 200 milioni, ambapo iliongezeka kwa Shs 45 milioni kutoka mwaka uliotangulia. Kama sehemu ya mpango wa kasisitiza shughuli zake na rasilimali katika biashara yake kuu, Banki hii iliamua kuuza rasilimali zake ambazo hazikuwa na uhusiano wote na biashara ya kibengi. Baada ya kuuza majengo ambayo banki hii haikuwa ikitumia

pamoja na rasilimali za hisa zake katika biashara zisizo na uhusiano wote na biashara ya kibengi, faida ya Shs 57 milioni ilipatikana. Gharama za kuendesha shughuli za banki zilizuilika katika Sh 354 milioni, zikiwa zimepungua kwa Shs 2 milioni ikilinganishwa na mwaka uliotangulia.

Faida baada ya kuuza rasilimali zake zisizo na uhusiano wote na biashara ya pesa pamoja na kodi ya chini iliyolipishwa zilileta ongezeko kubwa la mapato kwa kila hisa ya Shs 2.06 kutoka Shs 1.31 mwaka jana.

Ingawaje matokeo ya 2000 yalikuwa afadhali sana kuliko ya mwaka uliotangulia, bado hakuna uhakika kuhusu hali itakavyokuwa mnamo 2001. Uwezekano wa kuanzisha sheria mpya ya banki utaathiri viwango vya faida katika pesa zinazokopeshwa na banki na, hivyo, faida kwa jumla, na huku maoni ya jumla kuhusu uchumi yakiwa si mazuri sana. Kutokana na sababu hizi, Halmashauri yenu inapendelea kuchukua hatua ya busara zaidi ya kustahimili mabadiliko yoyote na inapendekeza malipo ya mgawo wa faida ya asilimia 15% kwa mwaka huu, ikilinganishwa na asilimia 20% kwa mwaka jana.

Mswada (Marekebisho) wa Banki Kuu ya Kenya 2000, ambao unajulikana sana kama Mswada wa Donde, umepitishwa na Bunge na unangojea uthibitishwe na Rais. Mswada huo unapendekeza kuwekea banki kiwango cha chini zaidi cha riba zinazolipiwa pesa zilizowekwa akiba na kiwango cha mwisho cha riba zitakazolipishwa mikopo. Mswada huo utapunguza malipo ya bakshishi ambazo huenda zikalipishwa kutokana na

Taarifa ya Mwenyekiti (inaendelea)

biashara ya pesa na kukataza wakurugenzi kuwekea dhamana mikopo ya kampuni zao. Ikiwa Mswada huo utathibitishwa katika hali yake ya sasa, utavuruga mwelekeo wa kawaida wa biashara ya pesa na kuathiri sana shughuli za banki. Utawala wabenki hii umefikiria madhara yatakayotokana na Mswada huo na mabadiliko kadha madhubuti yamefanywa kuandaa Banki hii kwa wajibu mpya utakaoikabili katika siku zijazo.

Mnamo Januari 31, 2001, Bw. Alan P. Beauregard alijiuzulu wadhifa wake kama Meneja Mkurugenzi wa Banki hii. Kamati ya Uteuzi ya Halmashauri yenu imeundwa kuchukua jukumu la kutafuta mrasimu mwingine mkuu mpya. Kwa wakati huu, Bi Nasim Devji, aliyekuwa zamani Meneja Mkuu wa Regional Finance, ameteuliwa kuwa Kaimu Mrasimu Mkuu. Halmashauri yenu ina kila imani katika ujuzi na ustadi wa Bi Devji katika kuongoza Banki hii wakati anaposhikilia wadhifa huo.

Kampuni shiriki za Banki hii nchini Uganda na Tanzania zilikuwa na matokeo tofauti mnamo 2000. Diamond Trust Bank Uganda ilinakilisha ongezeko la faida kabla ya kodi la asilimia 49% ilhali Diamond Trust Bank Tanzania ilinakilisha faida kabla ya kodi iliyopunguka kwa asilimia 20%.

Banki yenu ikishirikiana na majumui yake,

inaendelea kutekeleza maongozi yake ya upanuzi katika kanda hili. Tunaamini kwamba tunaweza kunufaisha sana wateja wetu kwa kuwapa huduma bora kuvuka mipakani kati ya nchi tatu za Afrika Mashariki. Baada ya kuanzisha msingi wa pamoja wa huduma na ratiba, utawala wa banki hii umeanzisha mipango sawia ya akiba na mikopo kutolewa nchini Kenya, Uganda na Tanzania. Pamoja na hayo, hatua madhubuti zitachukulia kuratibu na kuimarisha biashara mpya.

Kwa kipindi chote cha mwaka, tumekuwa na wateja waaminifu wanaonufaika na uwekaji akiba pesa zao na ukopaji. Ili kuimarisha zaidi uaminifu huo na kukuza ushirikiano mzuri na wateja wetu, tumeteua sasa mameneja uhusiano ili kuwapa wateja huduma za kibinafsi zaidi.

Kwa niaba ya wenyehisa, Halmashauri hii inapenda kuwashukuru utawala na wafanya kazi kwa mchango wao mkubwa unaothaminika na waliotimiza kuhakikisha kwamba shughuli za Banki hii zimeendelea kuwa imara katika mwaka huo.

James B. Galbraith

Mwenyekiti

Machi 22 2001.

Taarifa iliyoko hapa juu ni tafsiri ya Kiswahili ya Taarifa ya Mwenyekiti iliyoko ukurasa wa 4 na 5. Iwapo patatokea utata wowote katika tafsiri ya maana halisi ya maneno yaliyotumika, basi tafsiri ya Kiingereza ndiyo itakayotawala.

The text set out above is a Kiswahili translation of the Chairman's Statement which appears on page 4 and 5. In the event of any dispute in the interpretation of the Kiswahili version the English version shall be the authoritative version.

Report of the Directors

for the year ended 31 December 2000

*T*he Directors submit their report together with the audited financial statements for the year ended 31 December 2000 which disclose the state of affairs of the Group.

PRINCIPAL ACTIVITIES

The Bank is licensed under the Banking Act to provide banking and other related services to the general public.

RESULTS

The results for the year are set out on page 10.

DIVIDENDS

The Directors propose that a final dividend of 15% (i.e Shs. 0.60 per share) on the Issued and Paid-up Share Capital of Shs. 318 million be paid on or about 20 July 2001.

DIRECTORS

The present membership of the Board is listed on page 2.

From the present members of the Board of Directors as listed, Messrs Jack J. Kisa, Nizar N. Juma and Abdul A. Samji retire by rotation under Articles No. 93 and No. 94 of the Bank's Articles of Association and being eligible, offer themselves for re-election.

Messrs James Bonnardeux and Iain Cheyne retire under Article No. 98 of the Bank's Articles of Association as this is the first Annual General Meeting since their appointment and, being eligible, offer themselves for re-election.

AUDITORS

The Bank's auditors, PricewaterhouseCoopers, have expressed their willingness to continue in office in accordance with section 159 (2) of the Companies Act and section 24 (1) of the Banking Act.

By order of the Board

Elizabeth W. Hinga

Company Secretary

22 March 2001

Nairobi

Report of the Auditors
to the members of Diamond Trust Bank Kenya Limited

*W*e have audited the financial statements set out on pages 10 to 33. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit. The balance sheet of the Bank is in agreement with the books of account.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

The Directors are responsible for the preparation of financial statements which give a true and fair view of the state of affairs of the Group and the Bank and the operating results of the Group. Our responsibility is to express an independent opinion on the financial statements based on our audit and to report our opinion to you.

BASIS OF OPINION

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement. An audit includes an examination, on a test basis, of evidence supporting the amounts and disclosures in the financial statements. It also includes an assessment of the accounting policies used and significant estimates made by the Directors, as well as an evaluation of the overall presentation of the financial statements.

OPINION

In our opinion proper books of account have been kept and the financial statements give a true and fair view of the state of the financial affairs of the Group and the Bank as at 31 December 2000 and of the profit and cash flows of the Group for the year then ended and comply with International Accounting Standards and the Kenyan Companies Act.

PricewaterhouseCoopers
Certified Public Accountants
Nairobi

22 March 2001

Group Profit and Loss Account

for the year ended 31 December 2000

	Notes	2000 Shs 000	1999 Shs 000
INTEREST INCOME	1	772,952	883,944
INTEREST EXPENSE	2	(313,554)	(413,301)
NET INTEREST INCOME		459,398	470,643
Fees and commissions income		14,603	24,462
Dividend income		5,234	2,638
Other operating income		21,358	34,434
OPERATING INCOME		500,593	532,177
Operating expenses	3	(354,058)	(356,267)
Provision for bad and doubtful debts	13	(28,255)	(48,590)
PROFIT FROM OPERATIONS		118,280	127,320
Income from associates	12	24,932	27,939
Gain on sale of non-banking assets	4	57,134	-
PROFIT BEFORE TAX		200,346	155,259
Income tax expense	5	(36,772)	(51,035)
PROFIT ATTRIBUTABLE TO SHAREHOLDERS	6	163,574	104,224
Dividends:			
Interim dividend - paid in year	8	-	31,800
Proposed final dividend for the year	8	47,700	31,800
		47,700	63,600
Earnings per share (basic and diluted)	7	2.06	1.31
Dividends per share	8	0.60	0.80

Group Balance Sheet

at 31 December 2000

	Notes	2000 Shs 000	1999 Shs 000
ASSETS			
Cash and balances with Central Bank of Kenya	9	329,346	417,887
Government securities	10	2,129,665	2,044,040
Deposits and balances due from banking institutions	11	597,405	399,078
Investments in associates	12	161,892	157,886
Advances to customers	13	1,486,157	2,423,310
Other investments	14	100	58,327
Property and equipment	15	179,942	209,167
Tax receivable		24,680	24,888
Interest receivable and other assets	16	174,644	139,424
Deferred tax asset	22	85,893	121,841
TOTAL ASSETS		5,169,724	5,995,848
LIABILITIES			
Customer deposits	17	3,672,256	4,527,533
Interest payable and other liabilities	18	225,917	298,752
TOTAL LIABILITIES		3,898,173	4,826,285
CAPITAL RESOURCES			
Share capital	19	318,000	318,000
Share premium account		16,320	16,320
Capital reserve	20	116,666	153,385
Revenue reserve		772,865	650,058
Proposed dividends	8	47,700	31,800
SHAREHOLDERS' FUNDS		1,271,551	1,169,563
TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS		5,169,724	5,995,848

The financial statements on pages 10 to 33 were approved by the Board of Directors on 22 March 2001 and were signed on its behalf by:

J. B. Galbraith *Chairman*
A. A. Samji *Director*

J. J. Kisa *Director*
E. W. Hinga *Secretary*

Bank Balance Sheet

at 31 December 2000

	Notes	2000 Shs 000	1999 Shs 000
ASSETS			
Cash and balances with Central Bank of Kenya	9	329,346	417,887
Government securities	10	2,129,665	2,044,040
Deposits and balances due from banking institutions	11	597,405	399,078
Investments in subsidiary and associates	12	79,139	102,891
Advances to customers	13	1,486,157	2,423,310
Other investments	14	100	58,327
Property and equipment	15	179,942	209,167
Tax receivable		18,474	18,474
Interest receivable and other assets	16	174,644	139,424
Deferred tax asset	22	85,893	121,841
TOTAL ASSETS		5,080,765	5,934,439
LIABILITIES			
Customer deposits	17	3,672,256	4,527,533
Interest payable and other liabilities	18	305,479	378,313
TOTAL LIABILITIES		3,977,735	4,905,846
CAPITAL RESOURCES			
Share capital	19	318,000	318,000
Share premium account		16,320	16,320
Capital reserve	20	48,069	80,389
Revenue reserve		672,941	582,084
Proposed dividends	8	47,700	31,800
SHAREHOLDERS' FUNDS		1,103,030	1,028,593
TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS		5,080,765	5,934,439

The financial statements on pages 10 to 33 were approved by the Board of Directors on 22 March 2001 and were signed on its behalf by:

J. B. Galbraith *Chairman*
A. A. Samji *Director*

J. J. Kisa *Director*
E. W. Hinga *Secretary*

Group Statement of Changes in Equity

for the year ended 31 December 2000

	Notes	Share capital Shs 000	Share premium Shs 000	Capital reserve Shs 000	Revenue reserve Shs 000	Proposed dividends Shs 000	Total Shs 000
Year ended 31 December 1999							
At start of year							
- as previously stated		318,000	16,320	139,457	631,660	-	1,105,437
- proposed dividend for 1998		-	-	-	-	31,800	31,800
As restated		318,000	16,320	139,457	631,660	31,800	1,137,237
Translation differences (note (i))		-	-	(1)	1,145	-	1,144
Adjustment in market value of quoted shares and others		-	-	(9,442)	-	-	(9,442)
Share of associated companies bonus shares issued		-	-	23,371	(23,371)	-	-
Net profit		-	-	-	104,224	-	104,224
Dividends:							
- Final for 1998		-	-	-	-	(31,800)	(31,800)
- Interim for 1999	8	-	-	-	(31,800)	-	(31,800)
- Proposed final for 1999	8	-	-	-	(31,800)	31,800	-
At end of year		318,000	16,320	153,385	650,058	31,800	1,169,563
Year ended 31 December 2000							
At start of year		318,000	16,320	153,385	650,058	-	1,137,763
- proposed dividend for 1999		-	-	-	-	31,800	31,800
As restated		318,000	16,320	153,385	650,058	31,800	1,169,563
Translation differences (note (i))		-	-	578	1,956	-	2,534
Release of reserves on disposal of property		-	-	(25,366)	-	-	(25,366)
Release of reserves on disposal of quoted shares		-	-	(11,931)	4,977	-	(6,954)
Net profit		-	-	-	163,574	-	163,574
Dividends:							
- Final for 1999	8	-	-	-	-	(31,800)	(31,800)
- Proposed final for 2000	8	-	-	-	(47,700)	47,700	-
At end of year		318,000	16,320	116,666	772,865	47,700	1,271,551

(i) These differences arise on translation of opening reserves in associated companies at year end exchange rates.

Bank Statement of Changes in Equity

for the year ended 31 December 2000

	Notes	Share capital Shs 000	Share premium Shs 000	Capital reserve Shs 000	Revenue reserve Shs 000	Proposed dividends Shs 000	Total Shs 000
Year ended 31 December 1999							
At start of year							
- as previously stated		318,000	16,320	90,176	506,125	-	930,621
- proposed dividend for 1998		-	-	-	-	31,800	31,800
As restated		318,000	16,320	90,176	506,125	31,800	962,421
Adjustment in market value of quoted shares and others		-	-	(9,787)	-	-	(9,787)
Net profit		-	-	-	139,559	-	139,559
Dividends:							
- Final for 1998		-	-	-	-	(31,800)	(31,800)
- Interim for 1999	8	-	-	-	(31,800)	-	(31,800)
- Proposed final for 1999	8	-	-	-	(31,800)	31,800	-
At end of year		318,000	16,320	80,389	582,084	31,800	1,028,593
Year ended 31 December 2000							
At start of year		318,000	16,320	80,389	582,084	-	996,793
- proposed dividend for 1999		-	-	-	-	31,800	31,800
As restated		318,000	16,320	80,389	582,084	31,800	1,028,593
Release of reserves on disposal of property		-	-	(25,366)	-	-	(25,366)
Release of reserves on disposal of quoted shares		-	-	(6,954)	-	-	(6,954)
Net profit		-	-	-	138,557	-	138,557
Dividends:							
- Final for 1999	8	-	-	-	-	(31,800)	(31,800)
- Proposed final for 2000	8	-	-	-	(47,700)	47,700	-
At end of year		318,000	16,320	48,069	672,941	47,700	1,103,030

Group Cash Flow Statement

for the year ended 31 December 2000

	Notes	2000 Shs 000	1999 Shs 000
OPERATING ACTIVITIES			
Cash generated from operations	21(a)	94,461	416,991
Tax paid		-	-
Net cash from operating activities		94,461	416,991
INVESTING ACTIVITIES			
Purchase of property and equipment		(29,079)	(24,089)
Proceeds from disposal of property and equipment		48,032	11,654
Proceeds from disposal of investments		92,634	-
Dividends received		8,869	5,245
Net cash generated (used) in investing activities		120,456	(7,190)
FINANCING ACTIVITIES			
Dividends paid		(31,800)	(63,600)
Net cash used in financing activities		(31,800)	(63,600)
Increase in cash and cash equivalents		183,117	346,201
Movement in cash and cash equivalents			
At start of year	21(b)	2,063,630	1,717,429
Increase		183,117	346,201
At end of year	21(b)	2,246,747	2,063,630

Significant Accounting Policies

for the year ended 31 December 2000

Basis of accounting

The consolidated financial statements are prepared in accordance with and comply with International Accounting Standards. The financial statements are presented in Kenya Shillings (Shs) and are prepared under the historical cost convention modified to include the revaluation of certain assets.

Consolidation

The consolidated financial statements comprise the financial statements of Diamond Trust Bank Kenya Limited and its subsidiary company, Premier Savings and Finance Limited, made up to 31 December. All intercompany transactions, balances and unrealised surpluses and deficits on transactions between the Group companies have been eliminated. The accounting policies for the subsidiary are consistent with the policies adopted by the Bank.

Associated companies

Investments in associated companies are accounted for by the equity method of accounting. These are undertakings over which the Group has between 20% and 50% of the voting rights, and over which the Group exercises significant influence, but which it does not control. Provisions are recorded for long term impairment in value.

Equity accounting involves recognising in the income statement the Group's share of the associates profit or loss for the year. The Group's interest in the associates is carried in the balance sheet at an amount that reflects its share of the net assets of the associates and includes goodwill at acquisition.

A listing of the Group's principal associated undertakings is shown in Note 12.

Investment in subsidiary company

The investment in the subsidiary company is stated in the Bank's balance sheet at cost.

Income recognition

Income is recognised in the period in which it is earned except for dividends from investments, which are recognised when declared. When a lending account becomes non-performing, interest is suspended and excluded from income until it is received.

Property and equipment

Property and equipment are initially recorded at cost. Leasehold land and buildings are subsequently shown at revalued amounts. All other property and equipment are stated at historic cost less depreciation.

Increases in the carrying amount arising on revaluation are credited to a revaluation reserve. Decreases that offset previous increases of the same asset are charged against the revaluation reserve; all other decreases are charged to the profit and loss account.

Significant Accounting Policies

for the year ended 31 December 2000

Depreciation is provided on a straight line basis by reference to the expected useful lives of assets concerned. The rates used are as follows:-

	Rate %
Motor vehicles	25
Furniture, fittings and equipment	10, 20 and 25

Government securities

Government securities are stated at cost and income is accrued and included in interest receivable and other assets.

Investments

- (i) The Bank's quoted investments are shown in the balance sheet at their market value. Unrealised gains arising on revaluation are credited to capital reserve. Unrealised losses are charged first against any accumulated unrealised gains and the balance is charged to the profit and loss account.
- (ii) The Bank's unquoted investments are shown at cost and provision is only made where, in the opinion of the Directors, there is a permanent diminution in value. Where there has been a permanent diminution in the value of an investment, it is recognised as an expense in the period in which the diminution is identified.

Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise balances with less than 90 days maturity from the date of acquisition including cash and balances with Central Bank, treasury bills and bonds and amounts due from other banks.

Bad and doubtful advances

Specific provisions are made in relation to identified risk advances and a general provision is maintained against risks which although not identified may arise in any portfolio of bank advances. The resulting charge/release is dealt with in the profit and loss account. When an advance is deemed uncollectible it is written off against the related bad debt provision. Subsequent recoveries of advances that have been written off are credited to the profit and loss account.

Deferred tax

Deferred tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Tax rates enacted or substantially enacted at the balance sheet date are used to determine deferred tax.

Deferred tax assets are recognised only to the extent that is probable that future taxable profits will be available against which the temporary differences can be utilised.

Significant Accounting Policies

for the year ended 31 December 2000

Translation of foreign currencies

Transactions during the year are converted into Kenya Shillings at rates ruling at the transaction dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at the rates ruling at that date. The resulting differences from conversion and translation are dealt with in the profit and loss account in the year in which they arise. Exchange differences resulting from translation of opening net assets of foreign associated companies are dealt with in reserves.

Employee entitlements

Employee entitlements to gratuity and long service awards are recognised when they accrue to employees. A provision is made for the liability for such entitlements as a result of services rendered by employees up to the balance sheet date.

The monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an expense accrual.

Retirement benefit costs

The Group operates a defined contribution retirement benefit plan, the assets of which are held in a separate trustee-administered fund. The Group's contributions to the defined contribution plan are charged to the income statement in the year to which they relate.

Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until approved.

Credit risk

The Group takes on exposures to credit risk which is the risk that a counterparty will be unable to pay amounts in full when due. The Group structures the level of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or group of borrowers.

Exposure to credit risk is managed through regular analysis of the ability of borrowers to meet interest and capital repayment obligations and by changing these lending limits where appropriate. Exposure to credit risk is also managed in part by obtaining collateral and corporate and personal guarantees.

Comparatives

Where necessary, comparative figures have been adjusted or extended to conform with changes in presentation in the current year. In particular, the comparatives have been adjusted to take into account the requirements of the revised International Accounting Standard 10 (Events after the balance sheet date).

Notes forming part of the Financial Statements
for the year ended 31 December 2000

	2000 Shs 000	1999 Shs 000
1. INTEREST INCOME		
Loans and advances to customers	460,257	610,422
Treasury bills and bonds	282,782	228,808
Placements and bank balances	29,913	44,714
	772,952	883,944
2. INTEREST EXPENSE		
Current and demand accounts	6,796	20,725
Savings accounts	13,123	21,019
Time deposits	290,931	371,184
Other borrowed funds	2,704	373
	313,554	413,301
3. OPERATING EXPENSES		
Staff costs (see below)	165,293	178,452
Directors emoluments:		
as directors	1,020	732
as executives	22,269	31,314
Depreciation	20,183	26,239
Auditors' remuneration (the Bank: Shs 2,145,000; 1999 Shs 1,797,000)	2,145	2,047
Contribution to Deposit Protection Fund	7,002	8,350
Other costs	136,146	109,133
	354,058	356,267
Included in staff costs is Shs 8,361,000 (1999: Shs 10,044,400) relating to retirement benefit contributions. The average number of employees employed by the Group (excluding associates) during the year was 119 (1999: 132).		
4. GAIN ON SALE OF NON-BANKING ASSETS		
Gain on sale of properties	34,962	-
Gain on sale of equity investments	22,172	-
	57,134	-

Notes forming part of the Financial Statements
for the year ended 31 December 2000

	2000 Shs 000	1999 Shs 000
5. INCOME TAX EXPENSE		
Current tax	208	252
Deferred tax (Note 22)	35,948	50,772
Share of tax of associates (Note 12)	616	11
	36,772	51,035
The tax on the operating profit differs from the theoretical amount that would arise using the basic tax rate as follows:		
Profit before tax	200,346	155,259
Prima facie tax calculated at a tax rate of 30% (1999-32.5%)	60,104	50,459
Tax effects of:		
Expenses not deductible for tax purposes	2,274	5,399
Income not assessable for tax	(17,672)	(5,815)
Utilisation of previously unrecognised tax losses and income exempt from tax in subsidiary and associates	(8,019)	(9,069)
Effects of change in tax rate on deferred tax asset	-	10,153
Other	85	(92)
	36,772	51,035

6. PROFIT ATTRIBUTABLE TO SHAREHOLDERS

Of the profit attributable to shareholders, Shs 138,557,000 (1999: Shs 139,559,000) has been dealt with in the financial statements of Diamond Trust Bank Kenya Limited. This includes a dividend of Shs. NIL (1999: 66,652,000) received from a subsidiary.

7. EARNINGS PER SHARE

Basic earnings per share are calculated on the profit attributable to shareholders of Shs 163,574,000 (1999: Shs 104,224,000) and on the number of ordinary shares in issue at the respective balance sheet dates.

There were no dilutive shares outstanding at 31 December 2000 or 1999.

Notes forming part of the Financial Statements

for the year ended 31 December 2000

8. DIVIDENDS PER SHARE

Proposed dividends are accounted for as a separate component of equity until they have been ratified at the annual general meeting. At the annual general meeting on 29 June 2001, a final dividend in respect of the year ended 31 December 2000 of Shs 0.60 per share (1999: Shs 0.40) amounting to a total of Shs 47,700,000 (1999: Shs 31,800,000) is to be proposed. During the year no interim dividend was paid (1999: Shs 31,800,000). The total dividend for the year is therefore Shs 0.60 per share (1999: Shs 0.80), amounting to a total of Shs 47,700,000 (1999: Shs 63,600,000).

Payment of dividends is subject to withholding tax at a rate of between 5 and 15%, depending on the residence of the respective shareholders.

9. CASH AND BALANCES WITH CENTRAL BANK OF KENYA

	2000 Shs 000	1999 Shs 000
Group and Bank		
Cash on hand	20,677	21,512
Balances with the Central Bank of Kenya:		
Cash ratio requirement	308,669	396,375
	329,346	417,887

The cash reserve ratio balance is non interest bearing and is based on the value of deposits as adjusted by the Central Bank of Kenya requirements. These funds are not available to finance the Bank's day to day operations.

10. GOVERNMENT SECURITIES

Group and Bank

Treasury bills and bonds

Maturing within 90 days	1,628,665	1,643,040
Maturing after 90 days	500,000	400,000
	2,128,665	2,043,040

Other Government securities

Maturing after one year	1,000	1,000
	2,129,665	2,044,040

Notes forming part of the Financial Statements
for the year ended 31 December 2000

11. DEPOSITS AND BALANCES DUE FROM BANKING INSTITUTIONS

	2000	1999
Group and Bank	Shs 000	Shs 000
Due within 90 days	597,405	399,078

12. INVESTMENT IN ASSOCIATES

Group		
At 1 January	157,886	131,421
Share of results before tax	24,932	27,939
Share of tax	(616)	(11)
Dividend paid	(3,635)	(2,607)
Translation differences	2,534	1,144
Sale/write-off of shares in associates	(19,209)	-
At 31 December	161,892	157,886

The subsidiary and the associates are listed below together with the interests held.

	Beneficial Ownership	GROUP		BANK	
		2000 Shs 000	1999 Shs 000	2000 Shs 000	1999 Shs 000
Subsidiary company					
Premier Savings and Finance Limited	100%	-	-	29,137	29,137
Associated companies					
Comtech Systems Limited	29%	1	3,700	1	3,500
Diamond Trust Bank Uganda Limited	27%	51,980	47,815	25,000	25,000
Diamond Trust Bank Tanzania Limited	33%	109,910	88,215	25,000	25,000
Kenya Litho Limited	22.25%	-	18,155	-	20,253
Services and Systems Limited	40%	1	1	1	1
		161,892	157,886	50,002	73,754
Total investment in subsidiary and associated companies		161,892	157,886	79,139	102,891

The subsidiary, which is incorporated in Kenya, is now dormant.

Notes forming part of the Financial Statements
for the year ended 31 December 2000

13. ADVANCES TO CUSTOMERS

Group and Bank	2000 Shs 000	1999 Shs 000
Loans to customers (gross)	1,877,459	2,763,308
Less: Interest in suspense	275,389	139,000
	1,602,070	2,624,308
Less: Provision for bad and doubtful debts		
Specific	91,824	176,909
General	24,089	24,089
Advances to customers (net)	1,486,157	2,423,310
Advances to customers by type (net of interest in suspense)		
Overdrafts	264,516	327,258
Commercial loans and mortgages	1,337,554	2,293,454
Bills discounted	-	3,596
	1,602,070	2,624,308

Economic sector risk concentrations (net of interest in suspense)	2000 Shs 000	2000 %	1999 Shs 000	1999 %
Agriculture	26,201	2	73,137	3
Manufacturing	263,993	16	405,987	15
Wholesale and retail trade	373,972	23	547,948	21
Transport and communications	330,341	21	503,831	19
Business services	128,171	8	167,875	6
Social, community and personal services	164,802	10	120,895	5
Real estate	52,108	3	111,765	4
Other	262,482	17	692,870	27
	1,602,070	100	2,624,308	100

Included in the balance sheet are advances, net of provisions, of Shs 391,176,000 (1999: Shs 410,376,000) on which interest amounting to Shs 275,389,000 (1999: Shs 139,000,000) has been suspended.

Group advances to customers at 31 December 2000 include loans to directors, employees and associates amounting to Shs 36,910,000 (1999: Shs 58,020,000).

Notes forming part of the Financial Statements
for the year ended 31 December 2000

13. ADVANCES TO CUSTOMERS (CONTINUED)

Movement in provision for bad and doubtful debts

Group	2000			1999		
	Specific Provisions Shs 000	General Provision Shs 000	Total Shs 000	Specific Provisions Shs 000	General Provision Shs 000	Total Shs 000
Balance at 1 January	176,909	24,089	200,998	665,829	52,950	718,779
New and increased provisions	48,183	-	48,183	124,459	-	124,459
Recoveries of amounts previously provided	(11,273)	-	(11,273)	(45,627)	-	(45,627)
Release of excess provision	-	-	-	-	(28,861)	(28,861)
Write-offs of prior year bad debts provisions	(121,995)	-	(121,995)	(567,752)	-	(567,752)
Balance at 31 December	91,824	24,089	115,913	176,909	24,089	200,998
Bank						
Balance at 1 January	176,909	24,089	200,998	635,620	49,110	684,730
Provision transferred upon merger with subsidiary	-	-	-	30,440	-	30,440
New and increased provisions	48,183	-	48,183	124,001	-	124,001
Recoveries of amounts previously provided	(11,273)	-	(11,273)	(45,427)	-	(45,427)
Release of excess provision	-	-	-	-	(25,021)	(25,021)
Write-offs of prior year bad debts provisions	(121,995)	-	(121,995)	(567,725)	-	(567,725)
Balance at 31 December	91,824	24,089	115,913	176,909	24,089	200,998

Notes forming part of the Financial Statements
for the year ended 31 December 2000

13. ADVANCES TO CUSTOMERS (CONTINUED)

Charge to profit

Group	Specific Provisions Shs 000	2000 General Provision Shs 000	Total Shs 000	Specific Provisions Shs 000	1999 General Provision Shs 000	Total Shs 000
New and increased provisions	48,183	-	48,183	124,459	-	124,459
Recoveries of amounts previously provided	(11,273)	-	(11,273)	(45,627)	-	(45,627)
Write back of provision	-	-	-	-	(28,861)	(28,861)
Net increase in provisions	36,910	-	36,910	78,832	(28,861)	49,971
Amounts recovered previously written off	(8,655)	-	(8,655)	(1,381)	-	(1,381)
Net charge to profit and loss account	28,255	-	28,255	77,451	(28,861)	48,590
Bank						
New and increased provisions	48,183	-	48,183	124,001	-	124,001
Recoveries of amounts previously provided	(11,273)	-	(11,273)	(45,427)	-	(45,427)
Write back of provision	-	-	-	-	(25,021)	(25,021)
Net increase in provisions	36,910	-	36,910	78,574	(25,021)	53,553
Amounts recovered previously written off	(8,655)	-	(8,655)	(905)	-	(905)
Net charge to profit and loss account	28,255	-	28,255	77,669	(25,021)	52,648

14. OTHER INVESTMENTS

Group and Bank

	2000 Shs 000	1999 Shs 000
Quoted shares	-	35,280
Unquoted shares	100	23,047
	100	58,327

*Notes forming part of the Financial Statements
for the year ended 31 December 2000*

15. PROPERTY AND EQUIPMENT

	Capital Work-in- Progress Shs 000	Long and Short term Leasehold Land and Buildings Shs 000	Motor Vehicles Shs 000	Furniture, Fittings and Equipment Shs 000	Total Shs 000
Group and Bank					
Cost or valuation					
At 1 January 2000	9,051	135,008	23,724	129,381	297,164
Additions	12,011	-	1,416	15,652	29,079
Disposals/Write-offs	-	(30,500)	(6,703)	(17,715)	(54,918)
Transfers	(21,062)	21,062	-	-	-
At 31 December 2000	-	125,570	18,437	127,318	271,325
Depreciation					
At 1 January 2000	-	-	11,739	76,258	87,997
Charge for the year	-	-	4,208	15,975	20,183
Disposals/Write-offs	-	-	(5,101)	(11,696)	(16,797)
At 31 December 2000	-	-	10,846	80,537	91,383
Net book value					
At 31 December 2000	-	125,570	7,591	46,781	179,942
At 31 December 1999	9,051	135,008	11,985	53,123	209,167

(i) Land and buildings of the Group are stated at professional valuation carried out on 31 December 1995 and represent the fair value at the balance sheet date. The basis was open market value. Subsequent additions totalling Shs 21,512,000 (1999: 450,000) are stated at cost.

16. INTEREST RECEIVABLE AND OTHER ASSETS

Group and Bank	2000 Shs 000	1999 Shs 000
Interest receivable	46,148	85,447
Uncleared effects	12,246	12,865
Other	116,250	41,112
	174,644	139,424

Notes forming part of the Financial Statements
for the year ended 31 December 2000

17. CUSTOMER DEPOSITS

Group and Bank

	2000 Shs 000	1999 Shs 000
Current and demand deposits	339,715	306,237
Savings accounts	398,708	391,816
Fixed deposit accounts	2,933,625	3,829,272
Unredeemed bearer certificates of deposit	208	208
	3,672,256	4,527,533

18. INTEREST PAYABLE AND OTHER LIABILITIES

	Group		Bank	
	2000 Shs 000	1999 Shs 000	2000 Shs 000	1999 Shs 000
Accrued interest	22,432	49,369	22,432	49,369
Items in transit	6,928	5,290	6,928	5,290
Due to subsidiary company	-	-	79,561	79,561
Accrued leave and gratuity provision	23,402	51,381	23,402	51,381
Other	173,155	192,712	173,156	192,712
	225,917	298,752	305,479	378,313

Movement in the accrued leave and gratuity provision is as follows:

	Gratuity Shs 000	Accrued leave Shs 000	Total Shs 000
At start of year	35,414	15,967	51,381
Utilised during year	(15,511)	(12,468)	(27,979)
At end of year	19,903	3,499	23,402

Notes forming part of the Financial Statements
for the year ended 31 December 2000

19. SHARE CAPITAL

Group and Bank	2000 Shs 000	1999 Shs 000
Authorised: 125,000,000 ordinary shares of Shs 4 each	500,000	500,000
Issued and fully paid: 79,500,000 ordinary shares of Shs 4 each	318,000	318,000

20. CAPITAL RESERVE

	Group		Bank	
	2000 Shs 000	1999 Shs 000	2000 Shs 000	1999 Shs 000
The reserve comprises:				
Surplus on revaluation of property and equipment	48,069	73,435	48,069	73,435
Quoted shares	-	11,931	-	6,954
Bank's share of post acquisition reserves in subsidiary and associates	68,597	68,019	-	-
	116,666	153,385	48,069	80,389

21. NOTES TO THE GROUP CASH FLOW STATEMENT

a) Reconciliation of Group profit before tax to net cash flow from operating activities

	2000 Shs 000	1999 Shs 000
Profit before tax	200,346	155,259
Adjustments for:		
Depreciation	20,183	26,239
Gain on sale of fixed assets	(35,276)	(6,220)
Gain on sale of equity investments	(22,172)	-
Dividend income	(5,234)	(2,638)
Share of associated companies profit	(24,932)	(27,939)
Provision for bad and doubtful debts	28,255	48,590
Net cash generated from operations	161,170	193,291
Decrease in cash ratio balance	87,706	430,917
Increase in Government securities maturing after 90 days of year end	(100,000)	-
Net decrease in advances to customers	908,917	426,256
Decrease in customer deposits	(855,277)	(609,440)
(Increase)/Decrease in interest receivable and other assets	(35,220)	11,873
Decrease in interest payable and other liabilities	(72,835)	(35,906)
	(66,709)	223,700
Net cash inflow from operating activities	94,461	416,991

Notes forming part of the Financial Statements
for the year ended 31 December 2000

21. NOTES TO THE GROUP CASH FLOW STATEMENT (CONTINUED)

b) Analysis of the balances of cash and cash equivalents as shown in the balance sheet notes

	2000 Shs 000	1999 Shs 000
Cash and balances with Central Bank of Kenya	20,677	21,512
Government securities – Treasury bills and bonds maturing within 90 days	1,628,665	1,643,040
Deposits and balances due from banking institutions	597,405	399,078
	2,246,747	2,063,630

22. DEFERRED TAX ASSET

Group and Bank

Deferred income taxes are calculated in full on all temporary differences under the liability method using the enacted tax rate of 30% (1999: 30%). Movement on the deferred income tax account is as follows:

	2000 Shs 000	1999 Shs 000
At 1 January	121,841	172,613
Income statement charge for the year	(35,948)	(50,772)
At 31 December	85,893	121,841
The net deferred income tax asset is attributable to the following items:		
Excess depreciation	1,768	1,035
General provisions:		
Bad and doubtful debts	7,227	7,227
Gratuity	5,971	10,624
Staff leave	1,050	4,790
Tax losses of the Bank	69,877	98,165
At 31 December	85,893	121,841

23. CONTINGENT LIABILITIES

Group and Bank

	2000 Shs 000	1999 Shs 000
Letters of credit and Acceptances	13,626	2,853
Guarantees	14,621	35,200
	28,247	38,053

The contingent liabilities represent transactions entered into in the normal course of business which are matched by counter indemnities from the customers. These contingent liabilities include guarantees issued for the account of directors, employees and associates amounting to Shs 2,350,000 (1999: Shs 3,350,000).

Notes forming part of the Financial Statements

for the year ended 31 December 2000

24. COMMITMENTS FOR CAPITAL EXPENDITURE

Group and Bank	2000 Shs 000	1999 Shs 000
Contracted but not provided for in these accounts	-	8,389
	-	8,389

25. BUSINESS SEGMENTS

The major part of the business of the Group is in Kenya and falls under the category of banking, which accounts for more than 90% of the total income.

26. CURRENCY RISK

The Group operates mainly within Kenya and the majority of its assets and liabilities are held in local currency. Although it maintains trade with other correspondent banks, it held no significant foreign currency exposure as at 31 December 2000 or 31 December 1999.

27. RETIREMENT BENEFIT OBLIGATIONS

All permanent employees of the Bank are members of a defined contribution retirement benefit scheme administered by The Jubilee Insurance Company Limited. The payments to the trust fund are determined by a certain percentage of the employees' and employer's contribution based on the basic salary. The employer's contribution for the year was Shs 8,243,000 (1999 – Shs 9,915,000). The Bank's contributions to the statutory defined contribution retirement benefit scheme, the National Social Security Fund, was Shs 118,000 (1999 - Shs 129,000). These contributions have been charged to the profit and loss account.

28. RELATED PARTY TRANSACTIONS

During the year, the Bank sold to a shareholder, at arms length, its investments in unquoted shares with a carrying value of Shs 43 million, realising a gain of Shs 23 million.

29. ASSETS PLEDGED AS SECURITY

As at 31 December 2000 and 31 December 1999, there were no assets pledged to secure liabilities.

30. INCORPORATION

The Bank is incorporated in Kenya under the Companies Act.

Notes forming part of the Financial Statements
for the year ended 31 December 2000

31 INTEREST RATE RISK

The Group is exposed to various risks associated with the effects of fluctuations in the levels of market interest rates on its financial position and cash flows. The Group has a policy of regularly reviewing and re-pricing interest rates.

The table below summarises the exposure to interest rate risks. Included in the table are the Group's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The Group does not bear an interest rate risk on off balance sheet items. All figures are in thousands of shillings.

	Up to 1 month	1 - 3 months	3 - 6 months	6 - 12 months	1 - 3 years	Over 3 years	Non- interest bearing	Total
ASSETS								
Cash and balances with Central Bank of Kenya	-	-	-	-	-	-	329,346	329,346
Government securities	900,085	1,228,580	-	-	1,000	-	-	2,129,665
Deposits and balances due from banking institutions	320,797	257,565	-	-	-	-	19,043	597,405
Investments in associates	-	-	-	-	-	-	161,892	161,892
Other investments	-	-	-	-	-	-	100	100
Interest receivable and other assets	-	-	-	-	-	-	174,644	174,644
Advances to customers	1,094,026	-	-	-	-	-	392,131	1,486,157
Property and equipment	-	-	-	-	-	-	179,942	179,942
Tax receivable	-	-	-	-	-	-	24,680	24,680
Deferred tax asset	-	-	-	-	-	-	85,893	85,893
Total assets	2,314,908	1,486,145	-	-	1,000	-	1,367,671	5,169,724
LIABILITIES AND SHAREHOLDERS' FUNDS								
Customer deposits	2,124,613	1,299,327	49,296	14,088	-	-	184,932	3,672,256
Interest payable and other liabilities	-	-	-	-	-	-	225,917	225,917
Shareholders' funds	-	-	-	-	-	-	1,271,551	1,271,551
Total liabilities and shareholders' funds	2,124,613	1,299,327	49,296	14,088	-	-	1,682,400	5,169,724
On balance sheet interest sensitivity gap	190,295	186,818	(49,296)	(14,088)	1,000	-	(314,729)	-
At 31 December 1999								
Total assets	3,593,303	670,992	200,000	-	-	1,000	1,530,553	5,995,848
Total liabilities and shareholders' funds	2,975,885	1,476,118	58,309	15,663	1,350	-	1,468,523	5,995,848
On balance sheet interest sensitivity gap	617,418	(805,126)	141,691	(15,663)	(1,350)	1,000	62,030	-

Notes forming part of the Financial Statements
for the year ended 31 December 2000

32 FAIR VALUES OF FINANCIAL ASSETS AND LIABILITIES

The fair values of the Group's financial assets and liabilities approximate the respective carrying amounts due to the generally short periods to contractual repricing or maturity dates as set out in note 31.

The effective interest rates, calculated on a weighted average basis, for the principal financial assets and liabilities at 31 December 2000 and 1999 were as follows:

	In Shs %	2000 In US\$ %	In GBP %	In Shs %	1999 In US\$ %	In GBP %
Government securities	12.0	-	-	18.1	-	-
Deposits and balances with banking institutions	16.0	6.2	5.4	11.4	4.9	4.3
Loans and advances to customers	18.0	-	-	23.2	-	-
Customer deposits	6.4	4.3	3.8	12.4	3.7	4.0

Notes forming part of the Financial Statements
for the year ended 31 December 2000

33 LIQUIDITY RISK

The Group is exposed to daily calls on its available cash resources from deposit repayments, current account withdrawals, loan draw downs and crystallisation of contingent liabilities. The Group manages the level of maturing funds available to meet such calls. The table below analyses assets and liabilities into relevant maturity groupings based on the remaining period at 31 December 2000 to contractual maturity date. All figures are in thousands of shillings.

	Up to 1 month	1 - 3 months	3 - 6 months	6 - 12 months	1 - 3 years	3 - 5 years	Over 5 years	Total
ASSETS								
Cash and balances with Central Bank of Kenya	225,429	97,887	4,690	1,340	-	-	-	329,346
Government securities	600,085	1,028,580	500,000	-	1,000	-	-	2,129,665
Deposits and balances due from banking institutions	339,840	257,565	-	-	-	-	-	597,405
Investments in associates	-	-	-	-	-	-	161,892	161,892
Other investments	-	-	-	-	-	-	100	100
Interest receivable and other assets	89,011	-	85,633	-	-	-	-	174,644
Advances to customers	243,730	259,881	145,830	284,356	431,276	112,319	8,765	1,486,157
Property and equipment	-	-	-	-	-	-	179,942	179,942
Tax receivable	-	-	-	-	24,680	-	-	24,680
Deferred tax asset	-	-	-	-	85,893	-	-	85,893
Total assets	1,498,095	1,643,913	736,153	285,696	542,849	112,319	350,699	5,169,724
LIABILITIES & SHAREHOLDERS' FUNDS								
Customer deposits	2,309,545	1,299,327	49,296	14,088	-	-	-	3,672,256
Interest payable and other liabilities	218,224	7,335	278	80	-	-	-	225,917
Shareholders' funds	-	-	-	47,700	-	-	1,223,851	1,271,551
Total liabilities & shareholders' funds	2,527,769	1,306,662	49,574	61,868	-	-	1,223,851	5,169,724
Net liquidity gap	(1,029,674)	337,251	686,579	223,828	542,849	112,319	(873,152)	-
At 31 December 1999								
Total assets	2,185,249	1,055,893	323,381	810,283	892,164	277,433	451,445	5,995,848
Total liabilities and shareholders' funds	3,253,501	1,496,426	59,111	47,678	1,369	-	1,137,763	5,995,848
Net liquidity gap	(1,068,252)	(440,533)	264,270	762,605	890,795	277,433	(686,318)	-



Proxy Form

I/We

of

being a member/members of Diamond Trust Bank Kenya Limited, hereby appoint

of

and failing him,

of

and failing him, the Chairman of the meeting as my/our proxy to vote for me/us and on my/our behalf at the Annual General Meeting of the Bank to be held on Friday, 29 June, 2001 at 10.00 a.m and at any adjournment thereof.

As witness my/our hand this day of 2001.

Signature

Important Notes:

1. If you are unable to attend this meeting personally, this Proxy Form should be completed and returned to The Company Secretary, P.O. Box 61711, Nairobi, so as to reach her not later than 48 hours before the time appointed for holding the meeting.
2. A person appointed to act as a proxy need not be a member of the Bank.
3. If the appointer is a Corporation, this Proxy Form must be under seal or under the hand of an Officer or Attorney duly authorised in writing.



